

Marco Bassetto

Curriculum Vitae

Education

Ph.D., Economics, University of Chicago, June 1998

B.A., Economics, Università Commerciale Luigi Bocconi, July 1992

Employment

L. Douglas Lee Professor of Economics, 2026-present

Monetary Advisor, Federal Reserve Bank of Minneapolis, 2020-2026

Senior Research Economist, Federal Reserve Bank of Minneapolis, 2019-2020

Senior Economist and Economic Advisor, Federal Reserve Bank of Chicago, 2009-2019

Professor of Macroeconomics, University College London, 2013-2015

Senior Economist, Federal Reserve Bank of Chicago, 2005-2009

Assistant Professor, University of Minnesota, 2000-2007

Assistant Professor, Northwestern University, 1998-2000

Publications in Academic Journals

“A Monetary-Fiscal Theory of Sudden Inflation” (joint with David S. Miller), *Quarterly Journal of Economics*, 2025, vol. 140, pp. 1959-2000.

“Institution Building without Commitment” (joint with Victor Ríos-Rull and Zhen Huo), *American Economic Review*, 2024, vol. 114, pp. 3427-3468.

“A Ramsey Theory of Financial Distortions” (joint with Wei Cui), *Journal of Political Economy*, 2024, vol. 132, pp. 2612-2654.

“Discussion of ‘Fiscal Federalism and Monetary Unions’ by Berriel, Gonzalez-Aguado, Kehoe, and Pastorino” (joint with Jason Hall), *Journal of Monetary Economics*, 2024, vol. 141, pp. 178-183.

“Mobility, Population Growth, and Public Capital Spending in the United States” (joint with Leslie McGranahan), *Review of Economic Dynamics*, 2021, vol. 41, pp. 255-277.

“Shotgun Wedding: Fiscal and Monetary Policy” (joint with Thomas J. Sargent), *Annual Review of Economics*, 2020, vol. 12, pp. 659-690.

“Forward Guidance: Communication, Commitment, or Both?” *Journal of Monetary Economics*, 2019, vol. 108, pp. 69-86.

“Is Inflation Default? The Role of Information in Debt Crises” (joint with Carlo Galli), *American Economic Review*, 2019, vol. 109, pp. 3556-3584.

“The Fiscal Theory of the Price Level in a World of Low Interest Rates” (joint with Wei Cui), *Journal of Economic Dynamics and Control*, 2018, vol. 89, pp. 5-22 (lead article), special Fed St. Louis-JEDC-SCG-SNB-UniBern Conference on Fiscal and Monetary Policies

“Speculative Runs on Interest Rate Pegs” (joint with Christopher Phelan) *Journal of Monetary Economics*, 2015, vol. 73, pp. 99-114.

“Credit Crunches and Credit Allocation in a Model of Entrepreneurship” (joint with Marco Cagetti and Mariacristina De Nardi), *Review of Economic Dynamics*, 2015, vol. 18, n.1., pp. 53-76, special issue on Money, Credit, and Financial Frictions.

“Optimal Fiscal Policy with Heterogeneous Agents,” *Quantitative Economics*, 2014, vol. 5, n.3, pp. 675-704.

“Fiscal Consequences of Paying Interest on Reserves” (joint with Todd Messer), *Fiscal Studies*,

2013, vol. 34, n.4 , pp.413-436.

“Tax Riots” (joint with Christopher Phelan), *Review of Economic Studies*, 2008, vol. 75, n.3, pp. 649-669.

“Political Economy of Taxation in an Overlapping-Generations Economy,” *Review of Economic Dynamics*, 2008, vol.11, n.1, pp.18-43.

“Politics and Efficiency of Separating Capital and Ordinary Government Budgets,” *Quarterly Journal of Economics*, 2006, vol.121, n.4, pp.1167-1210. (Marco Bassetto with Thomas J. Sargent).

“Redistribution, Taxes, and the Median Voter” (joint with Jess Benhabib), *Review of Economic Dynamics*, 2006, vol.9, n.2, pp. 211- 223.

“Equilibrium and Government Commitment,” *Journal of Economic Theory*, 2005, vol. 124, n.1, pp. 79- 105.

“On the Irrelevance of Government Debt When Taxes are Distortionary” (joint with Narayana Kocherlakota), *Journal of Monetary Economics*, 2004, vol.51, n.2, pp. 299-304.

“Negative Nominal Interest Rates,” *American Economic Review (Papers and Proceedings)*, 2004, vol.94, n.2, pp.104-108.

“A Game-Theoretic View of the Fiscal Theory of the Price Level,” *Econometrica*, 2002, vol.70, n.6, pp.2167-2195.

“Exchange Rate and Inflation Risks in Portfolio Choices,” *Rivista Internazionale di Scienze Economiche e Commerciali*, 1991, vol.38, n.10-11, pp.949-68 (in Italian).

Other Publications

“On the Mechanics of Fiscal Inflation,” (joint with Luca Benzoni and Jason Hall), *Quarterly Review*, Federal Reserve Bank of Minneapolis, 2024, vol. 44, n.2, pp. 2-14.

“Inflation Forecasting and the Great Recession,” (joint with Todd Messer and Christine Ostrowski) *Economic Perspectives*, Federal Reserve Bank of Chicago, 2013, vol. 37, n.3, pp. 79-106.

“What is the Relationship between Large Deficits and Inflation in Industrialized Countries?” (joint with R. Andrew Butters) *Economic Perspectives*, Federal Reserve Bank of Chicago, 2010, vol. 34, n.3, pp. 83-100.

“The Research Agenda: Marco Bassetto on the Quantitative Evaluation of Fiscal Policy Rules,” *Economic Dynamics Newsletter*, 2009, vol. 10, n.2.

“Fiscal Theory of the Price Level,” in Lawrence Blume and Steven Durlauf (eds.), *The New Palgrave: A Dictionary of Economics*, 2nd edition, 2008, MacMillan: London.

“Government Investment and the European Stability and Growth Pact,” (joint with Vadym Lepetyuk), *Economic Perspectives*, Federal Reserve Bank of Chicago, 2007, vol. 31, n.3, pp. 33-43. A version with a technical appendix is available as NBER Working Paper #13200, 2007.

“Fiscal Policy and Price Stability: The Case of Italy, 1992-98,” *Chicago Fed Letter*, 2006 no. 233.

Research in progress

“Time-Consistent Policy with Pre-Tax or Post-Tax Retirement Accounts” (joint with Jason Hall)

“A Theory of Gradual Trade Liberalization and Retrenchment” (joint with Victor Ríos-Rull and Zhen Huo)

“The Role of Dispersed Information in Maintaining Low Interest Rates” (joint with Carlo Galli and Jason Hall), Federal Reserve Bank of Minneapolis staff report, 2025, n. 680.

“Monetary/Fiscal Interactions with Forty Budget Constraints” (joint with Gherardo Caracciolo), Federal Reserve Bank of Minneapolis working paper, 2021, n. 788

Other Papers

“The Interplay between Financial Conditions and Monetary Policy Shocks,” (joint with Luca Benzoni and Trevor Serrao), Federal Reserve Bank of Chicago working paper 2016-11.

“Public Investment and Budget Rules for States vs. Local Governments,” Federal Reserve Bank of Chicago Working Paper, 2008, n.21

“Crises in the Foreign Exchange Markets and the Reputation of Monetary Authorities”, (joint with Rony Hamoui), Working paper CESPRI, Milan, Italy, 1993, n.66.

“Reputation and Public Debt Management with Uncertainty and Asymmetric Information”, Quaderni di Ricerca IEP Bocconi, Milan, Italy, 1992 n.4.

Honors and Awards

Fellow of the Society for the Advancement of Economic Theory

Semi-plenary Speaker, 2018 Conference of the Society for the Advancement of Economic Theory

Plenary Speaker, 2017 Workshop of the Australasian Macroeconomics Society

NBER Research Economist 2007-2013

“Mobility, Budget Rules and Government Spending,” NSF grant, 2004-2011

NBER Faculty Research Fellow, 2005-2007

Alfred P. Sloan Research Fellowship, 2004-2007

“Inflation and Policy Rules,” NSF grant, 2001-04

Alfred P. Sloan Doctoral Dissertation Fellowship, 1997-98

Other Professional Activities

Visiting Professor, Federal Reserve Bank of Minneapolis, 2026-present

Associate Editor, *Quarterly Journal of Economics*, 2026-present

International Research Fellow, Institute for Fiscal Studies, 2015-present

Editor, *Review of Economic Dynamics*, 2010-present

Associate Editor, *Theoretical Economics*, 2010-present

Associate Editor, *Econometrica*, 2019-2025

Adjunct Professor (graduate courses), University of Minnesota, Spring 2022 and Spring 2024

UCL, Honorary Professor, 2015-2022

Associate Editor, *American Economic Review*, 2014-2016

Research Fellow, Institute for Fiscal Studies, 2013-2015

Associate Editor, *Review of Economic Dynamics*, 2006-2010

Editor, *B.E. Journal of Macroeconomics*, 2006-2010

Visiting Lecturer (graduate), University of Chicago, Fall 2008

Visitor, University College London, spring 2005